

ZEW confirms bottoming-out signals

- The ZEW index rebounded in June, corroborating bottoming-out signals from other surveys and lending support to the view that the bulk of the economic fallout from the Iran conflict should be concentrated in Q2. However, the rebound was driven solely by improved expectations, while the assessment of current economic conditions remained deeply negative.
- The improvement in economic conditions should accelerate next month now that a deal to reopen the Strait of Hormuz appears to have been reached. This is consistent with our own forecast for a gradual recovery from Q3 onwards.

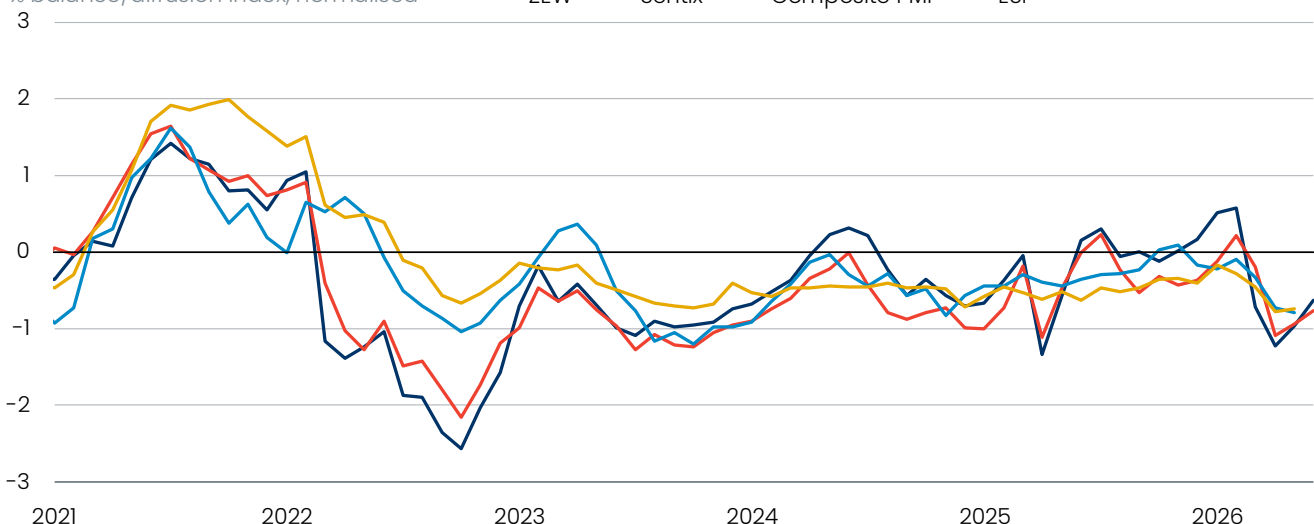
The ZEW rebounded in June, mirroring bottoming-out signs from [other surveys](#) over recent weeks. Economic expectations rebounded to 9.5, up from -9.1 in May, returning to positive territory. This was likely driven by increased hopes of an imminent deal to reopen the Strait of Hormuz, though economic expectations are still much less positive than their highs of early 2026. However, the assessment of current macroeconomic conditions remained broadly stable at a deeply negative level, broadly unchanged since the crisis started.

The picture was similar for Germany. The rebound in expectations was broad-based across sectors, except for construction, which descended into negative territory. Though the retail and consumer goods sector also posted a minor rebound, profit expectations remain severely diminished compared to the pre-conflict outlook.

Chart 1: June's ZEW also suggests that the worst is over

Eurozone: Key surveys

% balance/diffusion index, normalised



Sources: Oxford Economics, Haver Analytics, S&P Global

Though sentiment data is noisy, this suggests that the peak of economic weakness was reached in Q2, especially now that a deal to reopen the Strait seems to have been concluded. This is consistent with our own forecast, which sees Eurozone GDP growth picking up gradually from Q3.

It is worth bearing in mind that this month's ZEW does not yet reflect the announced reopening of the Strait of Hormuz following the agreement between the US and Iran, which should translate into improved business optimism from the next survey round in July. That said, while the deal is sure to lift sentiment, it is unlikely to [meaningfully change](#) our growth forecast, as our baseline already assumed a deal would be reached in July.